

GRANT the motion for summary judgment.

5.

CASE #	CASE NAME	HEARING NAME
CVSW2403633	GU VS VAL-CHRIS INVESTMENTS, INC.	MOTION ON WHETHER THE MATTER SHOULD PROCEED BY PROVE-UP HEARING OR TRIAL

Tentative Ruling: GRANTED

No default has occurred. Nor are there grounds to strike defendant's answer.

At a trial setting conference on May 30, 2025, the court set a trial date of May 15, 2026, and ordered the parties to appear at a mandatory settlement conference on April 16, 2026. Hou failed to appear at the April 16 MSC and Hou and his attorney were ordered to appear on May 15, 2026, and show cause why sanctions or dismissal should not be imposed for failure to appear at the MSC, citing C.R.C. 3.1380. Hou filed an ex parte application to continue the trial date on May 14, supporting by a declaration from his attorney stating that counsel had lost contact with Hou and describing various attempts by defendant's counsel to locate their client. The declaration also included the following:

Several months ago, we did receive an email from Defendant HOU stating that he was looking for another attorney to represent him in this case and that he did not want the Russell Law Group to do any further work on this matter. I was not involved at that time, but that may be the reason Ms. Duane did not conduct any discovery or render any other serv[ic]es after receiving that message. The Russell Law Group never heard from another attorney concerning substituting in for the Russell Law Group.

(Kent declaration, ¶16.) The initial minutes of the court for the May 15 hearing on the motion to continue trial set an OSC for why the court should not conduct a default prove-up for May 22, set the prove-up for May 22, and invited briefing. The initial minutes for the court trial on May 15 made similar orders. The initial minutes for the May 15 OSC (for failure to appear at the OSC) stated: "Order to Show Cause hearing is ordered discharged."

On May 20 the court issued two nunc pro tunc minute orders regarding the May 15 hearings, without identifying which of the three May 15-minute orders were being corrected. The amended orders changed the name of the OSC for May 22 from being a "Default Prove-Up" to a "Prove-Up". At the May 22 hearing the court set a further hearing on July 27 as to whether the matter should proceed "by Prove-Up Hearing or Trial". Briefing has been submitted by the parties, supplemental to an objection / motion that had initially been filed by Hou, through his attorneys, on May 18. Hou's briefing states that counsel has reestablished contact with their client and expects him to participate in trial.

It is important to start with the fact that the court did not strike Hou's answer after he failed to personally appear at the MSC or otherwise issue any sanctions.⁴ Instead the court discharged the OSC, and now the parties are left discussing what would happen if Hou also failed to appear at the trial. Fortunately, the case law is clear on that point. "Section 585 of the Code of Civil Procedure does not authorize the entry of any default in cases where an answer is on file *whether the defendant does or does not appear at the time the action is called for hearing*. [Citations.] Where the defendant who has answered fails to appear for trial 'the plaintiff's sole remedy is to move the court to proceed with the trial and introduce whatever testimony there may be to sustain the plaintiff's cause of action.' [Citation.] In this case a plaintiff is entitled to proceed under the provisions of Code of Civil Procedure, section 594, subd. 1, and he may do so in the absence of the defendant provided the defendant has been given... notice of the trial. Section 594 does not authorize the entry of the default in the event the defendant fails to appear, and a hearing held pursuant to that section under such circumstances is uncontested as distinguished from a default hearing. [¶] Where a defendant has filed an answer, neither the clerk nor the court has the power to enter a default based upon the defendant's failure to appear at trial, and a default entered after the answer has been filed is void [Citations], and is subject to expungement at any time... by virtue of the court's inherent power to vacate a judgment or order void on its face." (*Wilson v. Goldman* (1969) 274 Cal.App.2d 573, 576-577 [emphasis in original]; see also *Heidary v. Yadollahi* (2002) 99 Cal.App.4th 857.)

As with anything else what is important is what the court actually does, not what it is called (*Garamendi v. Golden Eagle Ins. Co.* (2004) 116 Cal.App.4th 694, 705 [footnote 3] [treating a proceeding as an uncontested hearing under section 594 even though the minutes described it as a default]), but before the trial starts the court needs to clarify the difference between a default prove-up and an uncontested trial. First, to proceed with an uncontested trial, "proof shall first be made to the satisfaction of the court that the adverse party has had 15 days' notice of such trial..." (C.C.P. §594(a).) The notice must be served on all parties by the clerk not less than 20 days prior to the date set for trial, or by an adverse party not less than 15 days prior to the date set for trial. (C.C.P. §594(b).) Proof of this service must be introduced into evidence prior to commencement of trial.

"Proceeding to judgment in the absence of a party is an extraordinary and disfavored practice in Anglo-American jurisprudence: '[T]he policy of the law is to have every litigated case tried upon its merits, and it looks with disfavor upon a party, who, regardless of the merits of the case, attempts to take advantage of the mistake, surprise, inadvertence, or neglect of his adversary.'" [Citations.] Reflecting this principle, section 594(a) expressly puts the burden on the party seeking to proceed with trial in the absence of the opposing party to prove that the absent party received the statutory 15-day notice.

⁴ "A court may not compel a litigant to settle a case, but it may direct him to engage personally in settlement negotiations, provided the conditions for such negotiations are otherwise reasonable." (*Wisniewski v. Clary* (1975) 46 Cal.App.3d 499, 505.) Striking the defendant's answer (or dismissal, for a plaintiff's failure to appear) is permissible if the circumstances render it appropriate. (*Sigala v. Anaheim City School Dist.* (1993) 15 Cal.App.4th 661, 670-671, 673-674.)

The Legislature has not required the absent party to show that it did not receive the statutorily required notice.” (*Au-Yang v. Barton* (1999) 21 Cal.4th 958, 963.)⁵

There is a further distinction between a trial conducted in a party’s absence and a trial conducted when the party appears through an attorney but is not personally present. To compel a party to attend trial, they must be served with a notice to attend under C.C.P. §1987(b). Service upon the party’s attorney is sufficient. (*Morgan v. Davidson* (2018) 29 Cal.App.5th 540, 552 [criticized on other grounds in *Conservatorship of O.B.* (2020) 9 Cal.5th 989, 1010.] Disobedience of a notice of appeal is sanctionable as would be disobedience of a subpoena. (*Gerard v. Cuevas* (2025) 118 Cal.App.5th Supp. 37 [finding error in striking defendant’s answer for failure to comply with a notice to appear given on 91-minutes notice].)

Section 1987 provides that a Notice “shall have the same effect as service of a subpoena on the witness, and the parties shall have those rights, and the court may make those orders, including the imposition of sanctions, *as in the case of a subpoena for attendance before the court.*” [Citations.] The sanctions available in the case of a party’s failure to comply with a subpoena for attendance in court are set forth in section 1991 et seq. Those sanctions are limited to an order of contempt proceedings [Citation], a forfeiture of \$500 in addition to any monetary damages the aggrieved party may sustain by the failure of the recipient of a subpoena or court order [Citation], and the issuance of an arrest warrant [Citation].

Section 1991 et seq. does not provide for the strike of an answer or any other terminating sanction. In fact, the original version of section 1991 expressly allowed the court to strike an answer in the case of a defendant’s refusal to comply with a subpoena. [Citation.] This provision was held to be unconstitutional by the California Supreme Court “as tending unduly to restrict the right to defend an action.” [Citations.] Subsequently, the Legislature amended the statute to remove the provision from section 1991. [Citation.] We presume this was not an idle act, meaning the Legislature no longer considers the striking of an answer to be an appropriate sanction for a violation of section 1987. [Citation.] Because the sanctions under section 1987 are limited to those available in section 1991 et seq., which no longer authorizes the striking of an answer, the trial court erred as a matter of law by issuing a terminating sanction in this case.

(*Gerard*, 118 Cal.App.5th Supp. 37, * [italics in original].) It is unclear whether Hou has been deposed or if a notice of deposition had ever been served—the persistent refusal of a party to submit to a deposition can be grounds for a terminating sanction after a motion to compel had been granted and disobeyed.⁶ (*Ruvalcaba v. Government Employees Ins.*

⁵ The *Au-Yang* court did quote a much older case as describing a proceeding taken against a party in their absence as “in the nature of a default.” (*Au-Yang*, 21 Cal.4th 958, 963 [quoting *Sheldon v. Landwehr* (1911) 159 Cal. 778, 782].) But the proceeding is different from a default in many ways. For example, mandatory relief under C.C.P. §473(b) is not available. (*Vandermoon v. Sanwong* (2006) 142 Cal.App.4th 315, 320-321; *Noceti v. Whorton* (2014) 224 Cal.App.4th 1062, 1067.) More importantly, as discussed next, the trial under section 594 requires proof of liability as well as damages.

⁶ It is also unclear whether Hou will appear at trial. Counsel for Hou states in the motion that he will and further explains in his declaration that “the Russell Law Group has located HOU and been in contact with him. It is

Co. (1990) 222 Cal.App.3d 1579, 1581.) But if Hou has been deposed plaintiffs may use that testimony in trial of their case. (C.C.P. §2026.620(b).) If plaintiffs made a tactical decision not to depose Hou and expected to compel him to testify at trial via service of a notice to appear, then an appropriate remedy can be fashioned with the remedies available under C.C.P. §§1991-1993. But if plaintiff made a tactical decision not to depose Hou and also did not notice his appearance for trial, then nothing has happened that warrants any sanction at all; a party who has not been noticed to appear does not have to personally appear at trial and can appear through their attorney, and the trial can be conducted under those circumstances, on the basis of whatever evidence has been developed and is ready to be presented at trial.

With this background, it seems clear that the motion is substantively correct. The court should provide notice of the trial and have the clerk or opposing party give notice, and the present hearing scheduled is not clearly noticed as a trial. If Hou and his attorneys fail to appear, the court must make the appropriate findings to conduct a trial under section 594. If Hou's attorneys appear but Hou does not, and Hou has been served through his attorneys with a notice to appear, the court should sanction him for disobedience of the notice to appear under sections 1991-1993. If Hou's attorneys appear but Hou does not and Hou was not served with a notice to appear, the trial can go forward on the merits. And of course, if Hou and his attorneys both appear at the new trial date, a trial on the merits is also appropriate.

anticipated HAE will be present for trial of this matter.” (Kent declaration, ¶4.) No other details are provided—especially, there is no explanation of why Hou failed to appear at the MSC, a detail that is technically irrelevant given that the court has discharged the OSC regarding his failure to appear, but a subject on which the court may naturally retain some curiosity.